

Calendar Line 3

Case Name: Snow v. Lee's Sandwich Corporation, et al. (Class Action/PAGA)
Case No.: 23CV410621

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on March 12, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. INTRODUCTION

This is a putative class and representative action arising from alleged wage and hour violations. On January 31, 2023, plaintiff Waladin Snow ("Plaintiff") began this action filing a class action complaint against defendant Lee's Sandwich Corporation and Lee's Sandwiches International, Inc.

On April 10, 2023, Plaintiff filed the operative first amended class action complaint against defendants Lee's Sandwiches International, Inc., CBET Corporation ("Defendant"), and Lee's Sandwiches, asserting the following causes of action: (1) unfair business competition; (2) failure to pay minimum wages; (3) failure to pay overtime wages; (4) failure to provide required meal periods; (5) failure to provide required rest periods; (6) failure to provide wages when due; (7) failure to provide accurate itemized statements; (8) failure to reimburse employees for required expenses; and (9) violation of the Private Attorneys General Act ("PAGA").

On July 20, 2023, the court issued an order granting Plaintiff's request to dismiss defendants Lee's Sandwiches International, Inc. and Lee's Sandwiches without prejudice.

The parties have reached a settlement. Plaintiff now moves for preliminary approval of the settlement. The motion is unopposed.

II. LEGAL STANDARD FOR SETTLEMENT AGREEMENTS

A. Class Action

Generally, “questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234-235 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs’ case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

(*Wershba, supra*, 91 Cal.App.4th at pp. 244-245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs’ case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing and weighing of factors depending on the circumstances of each case. (*Wershba, supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the “proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned.” (*Ibid.*, citation and internal quotation marks omitted.)

The burden is on the proponent of the settlement to show that it is fair and reasonable. However, “a presumption of fairness exists where: (1) the settlement is reached through arm’s-length bargaining; (2) investigation and discovery are sufficient to allow counsel and the court to act intelligently; (3) counsel is experienced in similar litigation; and (4) the percentage of objectors is small.” (*Wershba, supra*, 91 Cal.App.4th at p. 245, citation omitted.)

B. PAGA

Labor Code section 2699, subdivision (l)(2) provides that “[t]he superior court shall review and approve any settlement of any civil action filed pursuant to” PAGA. The court’s

review “ensur[es] that any negotiated resolution is fair to those affected.” (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Seventy-five percent of any penalties recovered under PAGA go to the Labor and Workforce Development Agency (LWDA), leaving the remaining twenty-five percent for the aggrieved employees. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S.____, 2022 U.S. LEXIS 2940.)

Like its review of class action settlements, the Court must “determine independently whether a PAGA settlement is fair and reasonable,” to protect “the interests of the public and the LWDA in the enforcement of state labor laws.” (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76-77.) It must make this assessment “in view of PAGA’s purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws.” (*Id.* at p. 77; see also *Haralson v. U.S. Aviation Servs. Corp.* (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 [“when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public”], quoting LWDA guidance discussed in *O’Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O’Connor*).)

The settlement must be reasonable considering the potential verdict value. (See *O’Connor*; *supra*, 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-cv-02198-EMC) 2016 WL 5907869, 2016 U.S. Dist. LEXIS 140759, at *20-24.)

III. DISCUSSION

A. Provisions of the Settlement

Plaintiff seeks approval of a proposed settlement made on behalf of:

All non-exempt employees who are or previously were employed by Defendant and performed work in California during the period of January 31, 2019 through October 20, 2023 (the “Class Period”).

(Declaration of Jean-Claude Lapuyade (“Lapuyade Decl.”), Ex. A (“Agreement”), §§ I(G), I(J).) The settlement also includes a subset PAGA class of Aggrieved Employees, defined as “all non-exempt employees who are previously were employed by Defendant and performed work in California during the period of January 31, 2022 to October 20, 2023 (the “PAGA Period”). (*Id.* at §§ I(C), I(Y).)

Defendant will pay a gross settlement amount of \$82,000. (Agreement, § I(Q).) This amount includes attorney fees of up to one-third of the gross settlement amount (i.e., \$27,333.33), litigation costs not to exceed \$15,000, a PAGA allocation of \$5,000 (75 percent of which will be paid to the LWDA and 25 percent of which will be paid to PAGA Employees as individual PAGA payments), a service payment of up to \$10,000, and settlement administration estimated to be \$7,600. (*Id.* at §§ I(B), I(E), I(F), I(O), I(Z), III(L)(9)-(12).) The net settlement amounts and individual PAGA payments will be distributed on a pro rata basis according to the number of workweeks they were employed by Defendant. (*Id.* at §§ I(S), III(L)(1)-(10).) The Agreement provides that APEX Class Action LLC (“APEX”) will serve as the settlement administrator. (Agreement, § I(HH).) The court approves APEX as the settlement administrator.

The Agreement further provides that any funds from settlement checks remaining uncashed after the void date (180 days after mailing) will be remitted to California State Controller for deposit in the Unclaimed Property Fund in the name of the individual whose check was uncashed. (Agreement, § III(L)(8).) The parties’ proposal to send funds from uncashed checks issued to class member to the State of California Unclaimed Property Fund does not comply with Code of Civil Procedure section 384, which mandates that unclaimed or abandoned class members’ funds be given to “nonprofit organizations or foundations to support projects that will benefit the class or similarly situated persons, or that promote the law consistent with the objectives and purposes of the underlying cause of action, to child advocacy programs, or to nonprofit organizations providing civil legal services to the indigent.”

The court is disinclined to grant preliminary approval of a settlement that does not comply with Code of Civil Procedure section 384. Accordingly, the motion shall be CONTINUED, and prior to the continued hearing, the partes shall meet and confer to

determine whether they can amend the Agreement to address the court’s concerns regarding the designation of a *cy pres* recipient at this time.

In exchange for the settlement, the class members agree to release Defendant, and related entities and persons, from the following:

[A]ll class claims alleged in the Operative Complaint which occurred during the Class Period, and expressly excluding all other claims, including claims for vested benefits, wrongful termination, unemployment insurance, disability, social security, workers' compensation, and class claims outside of the Class Period.

(Agreement, §§ I(EE), I(GG), III(B).) Similarly, Aggrieved Employees agree to release Defendant, and related entities and persons, from the following:

all PAGA claims alleged in the operative Complaint and Plaintiffs PAGA notices to the L WDA which occurred during the PAGA Period, and expressly excluding all other claims, including claims for vested benefits, wrongful termination, unemployment insurance, disability, social security, workers' compensation, and PAGA claims outside of the PAGA Period.

(*Id.* at §§ I(FF), I(GG), III(C).)

The forgoing release provisions are overbroad because they are tailored to the *claims* – rather than to the *factual allegations* – of the operative pleading and PAGA notices. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 538.)

A class action settlement must be approved by the court to protect class members ... whose rights may not have been given due regard by the negotiating parties. [Citation.] Consequently, courts must remain vigilant and ensure that class releases do not extend to claims that are beyond the scope of the allegations in the complaint. Releases must be appropriately tethered to the complaint's factual allegations. For example, the portion of the release covering “potential claims reasonably arising out of ... the same set of operative facts” pleaded in the complaint is sufficiently tailored. ... [¶] To be clear, we do not mean to suggest the above examples provide the only acceptable phrasing of class releases. Rather, these examples are only meant to provide some guidance to the trial courts that review class action settlements. There are certainly other formulations that properly limit the scope of the class release to the allegations in the complaint. We only mean to encourage courts to scrutinize class releases to ensure they are reasonably tethered to the complaint's allegations. [¶] ... [T]he release must be tied to the *factual allegations* in the complaint, not the claims or theories of liability asserted. [Citations.] Class members could potentially have claims that arise from the same legal theories as Amaro's complaint but are not based on the same allegations.

(*Ibid.*, emphasis original.) Here, in defining the Released Class Claims and the Released PAGA Claims, sections I(EE) and I(FF) of the Agreement reference only the claims alleged and not the facts alleged in the operative complaint and PAGA notices.

Accordingly, prior to the continued hearing, the parties shall meet and confer to see whether the release provision can be amended in response to the court's concerns as discussed above.

B. Fairness of the Settlement

Plaintiff contends that the proposed settlement meets the standards for preliminary approval. (Motion, pp. 8:26-18:8.) Plaintiff's counsel asserts that the settlement amount is fair and reasonable considering the nature and magnitude of the claims the continued risks of continued litigation. (Lapuyade Decl., ¶ 25.) Prior to mediation, Defendant agreed to informally produce additional documents and data points, including Class Members' time data and certain payroll records. (*Id.* at ¶¶ 15, 18-22.) Plaintiff's counsel retained a consulting group to analyze the data. (*Ibid.*) On October 20, 2023, the parties participated in a full day mediation presided over by the Honorable Brian C. Walsh (Ret.). (*Id.* at ¶¶ 16, 24.)

Plaintiff's counsel only agreed to enter the settlement following a thorough investigation and evaluation of Plaintiff's claims. (Lapuyade Decl., ¶ 23.) Plaintiff's counsel estimated that Defendant's potential liability exposure for class claims was \$159,051.40, excluding penalties. (*Id.* at ¶ 25.) Based on the claims analysis presented by Plaintiff's counsel, Defendant's total maximum potential exposure for all claims and penalties is \$751,332. (*Id.* at ¶¶ 26-34.)

The gross settlement amount of \$82,000 represents 10.9 percent of the Defendant's total maximum exposure for all claims and penalties. Therefore, the proposed settlement amount is within the general range of percentage recoveries that California courts have found to be reasonable. (See *Cavazos v. Salas Concrete, Inc.* (E.D. Cal., Feb 18, 2022, No. 1:19-cv-00062-DAD-EPG) 2022 U.S. Dist. LEXIS 30201, at *41-42 [citing cases approving settlements in the range of 5 to 35 percent of the maximum potential exposure].) Furthermore, Plaintiff's counsel presents evidence it conducted relevant discovery and a thorough analysis of Plaintiff's

claims and arrived at the settlement amount following negotiations with an experienced mediator.

The court has reviewed Plaintiff's written submissions in support of the proposed settlement. Based on the circumstances of the case, including the strength of Plaintiffs' case and potential defenses, the court finds the terms of the settlement to be fair. The settlement provides for some recovery for each class member and eliminates the risk and expense of further litigation.

C. Service Award, Fees and Costs

Plaintiff requests a service award of \$10,000. (Motion, p. 19:7- 28.)

The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit. Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation. These "incentive awards" to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit.

(*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted.) Incentive awards are particularly appropriate where a plaintiff undertakes a significant reputational risk in bringing an action against an employer. (*Covillo v. Specialty's Café* (N.D. Cal. 2014) 2014 U.S.Dist.LEXIS 29837, at *29.)

Plaintiff Snow has submitted a declaration describing his participation in this action. (Declaration of Waladin Snow, ¶¶ 8-20.) His participation has included remaining in regular contact with his attorneys and reviewing important court filings, and he estimates that he has spent approximately 20 to 30 hours working on this case. (*Id.* at ¶ 14.)

While the court finds that a service is justified, the amount requested is more than the court normally awards in similar circumstances. Therefore, the court approves a service award to Plaintiff in the amount of \$7,500.

The court also has an independent right and responsibility to review the requested attorney fees and only award so much as it determines reasonable. (See *Garabedian v. Los Angeles Cellular Telephone Co.* (2004) 118 Cal.App.4th 123, 127-128.) Plaintiff's counsel will seek attorney fees of up to one-third of the gross settlement amount (i.e., \$27,333.33). Prior to the final approval hearing, Plaintiff's counsel shall submit lodestar information (including hourly rate and hours worked) as well as evidence of actual litigation costs incurred and settlement administration costs.

D. Conditional Certification of Class

Plaintiff requests that the class be conditionally certified for purposes of the settlement. Rule 3.769(d) of the California Rules of Court states that “[t]he court may make an order approving or denying certification of a provisional settlement class after [a] preliminary settlement hearing.” California Code of Civil Procedure Section 382 authorizes certification of a class “when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court . . .” As interpreted by the California Supreme Court, section 382 requires: (1) an ascertainable class; and (2) a well-defined community of interest among the class members. (*Sav-On Drug Stores, Inc. v. Superior Court* (2004) 34 Cal.4th 319, 326 (*Sav-On*).

The “community-of-interest” requirement encompasses three factors: (1) predominant questions of law or fact; (2) class representatives with claims or defenses typical of the class; and, (3) class representatives who can adequately represent the class. (*Sav-On, supra*, 34 Cal.4th at p. 326.) “Other relevant considerations include the probability that each class member will come forward ultimately to prove his or her separate claim to a portion of the total recovery and whether the class approach would actually serve to deter and redress alleged wrongdoing.” (*Linder v. Thrifty Oil Co.* (2000) 23 Cal.4th 429, 435.) The plaintiff has the burden of establishing that class treatment will yield “substantial benefits” to both “the litigants and to the court.” (*Blue Chip Stamps v. Superior Court* (1976) 18 Cal.3d 381, 385.) As explained by the California Supreme Court,

The certification question is essentially a procedural one that does not ask whether an action is legally or factually meritorious. A trial court ruling on a

certification motion determines whether the issues which may be jointly tried, when compared with those requiring separate adjudication, are so numerous or substantial that the maintenance of a class action would be advantageous to the judicial process and to the litigants.

(*Sav-On, supra*, 34 Cal.4th at p. 326, internal punctuation and citations omitted.)

Plaintiff states there are approximately 191 class members, who can be identified from a review of Defendant's records. There are common questions regarding whether class members were subjected to common practices that violated wage and hour laws. No issue has been raised regarding the typicality or adequacy of Plaintiff as class representative. Therefore, the court finds that the proposed class should be conditionally certified for settlement purposes.

E. Class Notice

The content of a class notice is subject to court approval. "If the court has certified the action as a class action, notice of the final approval hearing must be given to the class members in the manner specified by the court." (Cal. Rules of Court, rule 3.769(f).) "The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement." (*Ibid.*) In determining the manner of the notice, the court must consider: "(1) The interests of the class; (2) The type of relief requested; (3) The stake of the individual class members; (4) The cost of notifying class members; (5) The resources of the parties; (6) The possible prejudice to class members who do not receive notice; and (7) The res judicata effect on class members." (Cal. Rules of Court, rule 3.766(e).)

Here, the form of notice is generally adequate. It describes the lawsuit, explains the settlement, and instructs class members that they may opt out of the settlement or object. (Agreement, Ex. A.) The settlement amounts, including attorney fees and payment to the named plaintiff, are stated. The notice informs class members that they may appear at the final fairness hearing to make an oral objection without filing a written objection.

However, the notice must be modified to instruct Class Members that they may object to the settlement simply by providing their name without the need to provide their phone number or other personal information. Also, as discussed above, the court has instructed the parties to meet and confer regarding the designation of a *cy pres* recipient and the scope of the

release provisions, and the notice must be amended to reflect any changes made in these respects.

Finally, the court requests that the following language regarding the final approval hearing be added to the notice:

Class members may appear at the final approval hearing in person or remotely using the Microsoft Teams link for Department 19 (Afternoon Session), and should review the remote appearance instructions beforehand:

https://www.sccscourt.org/general_info/ra_teams/video_hearings_teams.shtml

Class members who wish to appear remotely are encouraged to contact class counsel at least three days before the hearing, if possible, so that potential technology or audibility issues can be avoided or minimized.

On the condition that the parties make the above changes to the notice prior to its mailing, the notice is approved.

IV. CONCLUSION

The motion for preliminary approval of the settlement is **CONTINUED to April 2, 2025**, at 1:30 p.m. in Department 19. Prior to the continued hearing, the parties shall meet and confer regarding the designation of a *cy pres* beneficiary and the scope the releases, and Plaintiff's counsel shall file a supplemental declaration informing the court whether the parties were able to address the concerns with respect to these issues.

The prevailing party shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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Calendar Line 4

Case Name: Sorillo v. Plenus, Inc. dba YAYOI (Class Action)
Case No.: 23CV415616

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on March 12, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. INTRODUCTION

This is a putative class and representative action arising from alleged wage and hour violations. On April 28, 2023, plaintiff Russel Nera Sorillo (“Plaintiff”) began this action by filing a class action complaint against defendant Plenus, Inc. dba Yayoi (“Defendant”). On October 30, 2024, Plaintiff filed the operative first amended class and representative action complaint against Defendant, asserting the following causes of action: (1) failure to pay minimum and straight time wages; (2) failure to pay overtime wages; (3) failure to provide meal periods; (4) failure to authorize and permit rest periods; (5) failure to timely pay final wages at termination; (6) failure to provide accurate itemized wage statements; (7) failure to indemnify employees for expenditures; (8) unfair business practices; (9) civil penalties under the Private Attorneys General Act (“PAGA”).

The parties have reached a settlement. Plaintiff now moves for preliminary approval of the settlement. The motion is unopposed.

II. LEGAL STANDARD FOR SETTLEMENT AGREEMENTS

A. Class Action

Generally, “questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234-235 (*Wershba*),